In his discussion of the "bad emperor" problem in China, Francis concluded that even if a clique of insiders observes informal rules that help mitigate the economic commitment problem endemic to authoritarian regimes devoid of formal property rights, this can never be a lasting substitute for a formal rule of law. Several other scholars emphasize that no less essential in the globalized world than a modern bureaucratic state are constraints in the form of a rule of law or democratic accountability.[36] China is the paradigmatic puzzle, in that it has experienced the longest sustained period of rapid growth (an average of more than 9 percent per year between 1971 and 2014), despite high levels of corruption and low scores on traditional governance measures of political liberty, voice, and accountability.[37]

The rule of law and well-protected property rights are found especially wanting in the two autocratic BRICS,[38] but the others are not immune to such problems either.[39] The absence of democratic accountability and/or strong legal capacity, combined with weak checks on power and strong vested interests, is one taproot of disregard of formal rules.[40] For those in power in these countries, informal rules are attractive ways of rent-seeking. In many middle-income countries, weak market and legal institutions make the actors turn to alternative informal sources for protection and services, such as those seen in domestic financial arrangements in China.[41] Although it can be useful in some circumstances to have such flexibility in governance, these informal rules also can be abused through clientelism, cronyism, and corruption, as seen in many developing and middle-income countries.

Gretchen Helmke and Steven Levitsky construct a typology that shows how the role of informal institutions may either improve or undermine formal institutions because they work either positively (via a problem-solving role) or negatively (via a problem-creating role) to enhance or constrain formal institutions.[42] Informal institutions that help formal institutions function more effectively are compatible and complementary; accommodating informal institutions emerge when formal institutions are effective but have conflicting goals; substitutive informal institutions occur where formal institutions are ineffective though goals are compatible; and competing informal institutions emerge when formal institutions are ineffective and there are conflicting goals between formal and informal actors. In their study of corporate governance in BRICs countries, Saul Estrin and Martha Prevezer find that the